

FalconLedger Emission Blueprint v2

My notes on solving the inflation concerns

1. Current Programmed Model (What I Have Now)

From the code I already have (epoch-emission.md), the model works like this:

- Starts at 0.5% of treasury per epoch
- Halves every 208 epochs (~4 years)
- Floors at 0.01% around year 24 and stays there forever
- Treasury shrinks over time (double decay)
- Currently only pays validators — LPs not included yet

Problems I'm seeing:

- Year 1 inflation is ~23-26% — way too aggressive
- Takes until year 12+ before it even gets to reasonable levels
- Permanent 0.01% floor means infinite slow dilution forever
- Hard to explain and probably won't look great to people coming in later

2. What I'm Thinking About Now

Instead of big step changes every 4 years, what if the rate declines smoothly every epoch?

This would feel much cleaner and more professional.

Idea I'm exploring:

- Start at 12%
- Decline gradually every single epoch (very small reduction each time)
- Hit around 3.5% by year 6
- Then keep drifting down toward 1.5% long term
- Total emission still around 196B

3. Quick Comparison (Current vs What I'm Considering)

Aspect	Current Programmed Model	Continuous Decline Idea
Year 1 Inflation	~26%	12%
Reaches ~5%	Year 8-9	Year 5
Reaches ~3.5%	Year 12+	Year 6
Long term rate	0.01% floor forever	1.5%
Decline style	Big steps every 4 years	Smooth every epoch
How it feels	Aggressive then flat	Steady and controlled
LP support	Not built in yet	Designed for PoPL

4. Benefits of C.I.D Model (Continuous Inflationary Decline)

- Gets to reasonable/good inflation levels much faster (by year 6 instead of year 12+)
- Much smoother decline — no big sudden drops that can feel aggressive
- Long-term rate of 1.5% feels more sustainable than a permanent tiny floor
- Easier and cleaner to explain as a steady, controlled reduction
- Still provides strong early incentives for the first 2–3 years
- Better market perception overall — aligns with how successful chains eventually behaved
- Designed with PoPL in mind from the beginning (LPs can be included cleanly)

These are just my current working thoughts. Nothing is locked in yet.